

An app-ealing proposition

In what is likely to go down in history books as the “deal of the decade”, WhatsApp’s acquisition by Facebook for a whopping \$19 billion caused quite a stir not just in Silicon Valley, but the world over. Up until this point, everyone knew there was money in Apps but no one could have ever imagined we’d be talking about *this* kind of money. To put into perspective the kind of money we’re talking about, consider these stats: Sony, a company in existence for more than 60 years, has a market cap of \$17.8 billion. Or LG Corp, that’s considered a conglomerate in Korea, has a market value of a mere \$10.2 billion (‘mere’ is relatively speaking, of course). It’s fascinating that a company that didn’t even exist until a few years ago is now worth \$19 billion. That’s how BIG this WhatsApp deal is.

What’s more ‘app’ealing is the rags-to-riches story of founder Jan Koum; it’s like something right out of a plot of a Sidney Sheldon novel or a ‘90s Bollywood movie.

Koum, a first generation immigrant, was born in a small village in Ukraine to working class parents. His mother was a housewife and father, a construction foreman. His beginnings couldn’t have been more humble – his house didn’t have hot water and the Soviet era surveillance society curtailed more than a few liberties that you and I would take for granted. At 16, when he finally emigrated to Mountain View, California with his mother, he took up odd jobs like sweeping grocery stores to help make ends meet. His focus and determination, however, remained unwavering. He taught himself networking by reading used books on a returnable basis. Koum eventually joined a hacking group where he honed his skills and got himself a job later at Yahoo! This is where he crossed paths with future co-founder of WhatsApp, Brian Acton. They worked at Yahoo! for nine years and witnessed many ups and downs in the company as well as in the industry as a whole. In an ironic twist, both were rejected by Facebook when they applied for jobs with their would-be purchasers. Eventually – after a year of drifting – Jan built the backend for an early version of WhatsApp that was limited to showing status messages in the iPhone’s address book.

Years later, the story finally culminated in a rather poetic end. Jan Koum chose to sign the multi-billion dollar deal in the same building where he used to receive government aid in the form of food stamps. His passion for technology enabled this smart immigrant surviving on a hand-to-mouth sort of existence 20 years ago to be worth an estimated \$7 billion today thanks to his 45 per cent stake in WhatsApp.

I’ll leave the analysis of the financial efficacy of the deal to the Wall Street pundits, but from a technology standpoint there are two things to learn here: 1) If you have an interesting idea, technology-based enablers such as apps, websites or rapid prototyping can help you see your idea take shape in reality without much sunk costs. 2) Like WhatsApp, you don’t really have to go the advertising way if you’re providing a service that’s critical. If people want it, they’ll be willing to cough up money for it.

“But this is a one-off occurrence,” you might say. Yes it is, but a closer look at a few revenue stats from the four biggest app stores surprised me. In 2013, the iPhone App Store raked in \$6.4 billion in revenue while Android drew in a significantly lower revenue of \$1.2 billion, but it’s still indicative of how lucrative apps can be. Even the Windows Phone marketplace, which in comparison to these two is miniscule in terms of total app downloads, revealed some interesting figures. It gathered revenues of only \$0.95 billion but developers made about \$0.23 per download, compared to Android developers who only make \$0.04. As you can see, there’s money everywhere in the app universe for the taking. You just need the right product to make your own success story. 



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Got feedback about this column?
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